MODEL ASSUMPTIONS REFERENCE

Tesla Inc.

Assumptions Register

Companion to Tesla_Integrated_Financial_Model_Documentation.pdf — every model input in one place

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How to Use This Document

A direct statement that the document lists the model assumptions, their sources, and rationale.
This is meant as a quick reference alongside the model itself for the full methodology behind how each assumption is used, see *Tesla_Integrated_Financial_Model_Documentation.pdf*.

1. Revenue Growth

Revenue growth is the output of vehicle deliveries and average selling price forecasts by product line, described below.

Vehicle Line	FY2025 Deliveries (Act.)	Best/Worst Adjustment
Model 3	450,000 units	±5% relative to Base
Model S / X	50,000 units	±5% relative to Base
Model Y	1,130,000 units	±5% relative to Base
Cybertruck	50,000 units	±5% relative to Base
Semi	5,000 units	±5% relative to Base

Energy & Other segment revenue (Energy generation and storage; Services and other) forecast: -

1. Forecast method = YoY growth.
2. Growth goes from 18% to 6%, with ±3.1% scenario adjustment.

2. Margins

Automotive gross margin, by vehicle line (Base Case, historical average):

Vehicle Line	Base Case Gross Margin	Best/Worst Adjustment
Model 3	18.0%	±1.5 percentage points
Model S / X	19.0%	±1.5 percentage points
Model Y	20.0%	±1.5 percentage points
Cybertruck	12.0%	±1.5 percentage points
Semi	15.0%	±1.5 percentage points

Benchmarked against peer comparables: GM, Ford, and Fiat Chrysler for mass-market lines (Model 3, Model Y); BMW, Mercedes, and Volkswagen for premium lines (Model S/X); Scania, MAN, and Paccar for Semi. Tesla's historical average is used for the Base Case, with peer companies used as benchmarks.

Energy & Other gross margin (Base Case): **11.4%**, the FY2021–FY2025 historical median, held flat across the full forecast despite a strong historical improving trend (–3.5% in FY2021 to 18.7% in FY2025) .

3. Tax

Assumption	Value	Basis
Marginal tax rate	21.0%	U.S. federal statutory corporate rate

The marginal (statutory) rate is used throughout — for unlevering and relevering beta, and for NOPAT in the FCFF build - rather than Tesla's own historical effective tax rate, which has swung significantly across the historical period (including a large one-time tax credit in a prior year).

4. Capital Expenditure

Assumption	Value	Basis
Capex basis (toggle)	% of prior-year PP&E	Alternate toggle available: % of revenue
Base case capex ratio	28% of PP&E	Below FY2025 actual (30.6%) and 5-yr range (30.6–56.5%)

The Base case capex ratio sits below Tesla's own recent actuals, assuming that capital intensity moderates as the company shifts from an expansion phase toward a maintenance/optimization phase.

5. Depreciation

Assumption	Value	Basis
Useful life — new capex	10 years	Straight-line
Useful life — existing asset base	10 years	Straight-line, tracked separately from new capex

Depreciation is built as a full vintage schedule: each year's capex tranche depreciates on its own 10-year schedule starting the year it's added, as the asset base grows over the forecast period.

6. Working Capital

Metric	5-Year Historical Average (2021–2025)
Days Sales Outstanding (DSO)	14.5 days
Days Inventory Outstanding (DIO)	60.2 days
Days Payable Outstanding (DPO)	72.8 days
Net Trade Cycle	1.9 days

- All three ratios are held flat at their 5-year historical average for the entire forecast, do not flex across Best/Base/ Worst scenarios.
- A comparables tab benchmarks these ratios against automotive peers for reference, though the peer data does not feed the forecast directly.

7. Terminal Growth Rate

Assumption	Value	Basis
Terminal growth rate	4.55%	= Risk-free rate (10-yr U.S. Treasury yield)

Capping terminal growth at the risk-free rate which keeps the terminal value from becoming unbounded as WACC approaches the growth rate.

8. Cost of Capital Inputs

Assumption	Value	Basis
Risk-free rate	4.55%	10-year U.S. Treasury yield, as of Aug 6, 2026
Beta (raw, levered)	1.18	Historical regression beta
Beta (relevered, target structure)	1.19	Hamada unlever (own historical D/E) → relever at target D/E
Equity risk premium (ERP)	5.50%	U.S. equity market risk premium
Pre-tax cost of debt	5.45%	Market yield to maturity, referenced Tesla corporate bond
After-tax cost of debt	4.31%	Pre-tax cost of debt × (1 – 21% marginal tax rate)
Target debt weight	10.9%	5-year average annual debt weight, 2021–2025
Target equity weight	89.1%	1 – Target debt weight
Target D/E	11.4%	Target debt weight ÷ Target equity weight

- Beta is unlevered separately for each historical year (2021–2025) using that year's own D/E ratio, isolating how leverage alone shifted beta over time.
- The most recent year's unlevered beta is then relevered at the **target** capital structure (the 5-year average debt weight)

No country risk premium is applied - U.S. domiciled company with its primary listing on NASDAQ, so the domestic U.S. equity risk premium is used directly without a country-risk adjustment.

Output	Value
Cost of Equity (CAPM)	11.10%
WACC	**10.41%**

9. Scenario Toggle Reference

A single cell (`Drivers!C3`) switches every operating driver in the model simultaneously between three cases. The table below summarizes how each category of assumption responds.

Driver Category	Best Case	Base Case	Worst Case
Vehicle deliveries	+5% (relative)	Base build	–5% (relative)
Automotive gross margin	+1.5 points	Historical average	–1.5 points
Operating expense ratio	–2 points (lower Opex)	Peer-converged average	+2 points (higher opex)
Energy segment growth/margin	+inflation rate	Base build	–inflation rate
Working capital (DSO/DIO/DPO)	No change	5-yr average	No change